

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2019	Bank		Group Consolidated	
		31.12.2018	31.12.2019	31.12.2018	31.12.2019
		Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)
A. ASSETS					
1	Cash balances (both local and foreign)	356,884	558,941	356,884	558,941
2	Balances due from Central Bank of Kenya	2,423,468	2,287,778	2,423,468	2,287,778
3	Kenya Government and other securities held for dealing purposes	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-
5	Investment Securities:				
	a) Held to Maturity:	515,801	427,125	515,801	427,125
	a. Kenya Government securities	515,801	427,125	515,801	427,125
	b. Other securities	-	-	-	-
	b) Available for sale:	2,696,339	4,175,744	2,696,339	4,175,744
	a. Kenya Government securities	2,696,339	4,175,744	2,696,339	4,175,744
	b. Other securities	-	-	-	-
6	Deposits and balances due from local banking institutions	1,696,302	870,481	1,696,302	870,481
7	Deposits and balances due from banking institutions abroad	345,124	69,046	345,124	69,046
8	Tax recoverable	184,898	62,768	311,739	151,220
9	Loans and advances to customers (net)	44,615,058	39,934,816	43,439,691	38,551,968
10	Balances due from banking institutions in the group	-	-	-	227,770
11	Investments in associates	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-
13	Investment in Joint ventures	236,627	242,379	1,690,210	1,731,214
14	Investment properties	-	538,064	-	1,256,768
15	Property and equipment	1,339,729	1,804,812	2,078,978	1,853,530
16	Prepaid operating lease rentals	38,013	37,551	43,284	-
17	Intangible assets	1,006,692	862,437	1,007,553	863,505
18	Deferred tax asset	854,804	1,012,883	994,594	1,216,715
20	Other assets	773,544	1,647,064	2,949,383	2,213,113
21	TOTAL ASSETS	57,083,283	54,531,890	60,549,350	56,454,918
B. LIABILITIES					
22	Balances due to Central Bank of Kenya	-	-	-	-
23	Customer deposits	34,866,684	37,476,110	34,720,824	37,399,987
24	Deposits and balances due to local banking institutions	578,216	528,250	578,216	528,250
25	Deposits and balances due to foreign banking institutions	-	-	-	-
26	Other money market deposits	-	-	-	-
27	Borrowed funds	11,520,964	5,803,723	13,468,749	5,803,723
28	Balances due to banking institutions in the group	-	-	3	-
29	Tax payable	-	-	28,055	3,100
30	Dividends payable	-	-	-	-
31	Deferred tax liability	-	-	-	-
32	Retirement benefit liability	-	-	-	-
33	Other liabilities	952,459	1,571,403	1,382,272	2,477,638
34	TOTAL LIABILITIES	47,918,323	45,379,486	50,178,119	46,212,698
C. SHAREHOLDERS' FUNDS					
35	Paid up /Assigned capital	5,000,000	5,000,000	1,923,071	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	4,343,512	4,343,512
37	Revaluation reserves	180,440	180,440	881,903	881,903
38	Retained earnings/Accumulated losses	(1,440,413)	(2,308,522)	1,337,713	307,903
39	Statutory loan loss reserves	1,885,489	2,668,069	1,885,489	2,668,069
40	Other Reserves	(24,968)	48,005	(51,207)	67,012
41	Proposed dividends	-	-	-	-
42	Capital grants	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	9,164,960	9,152,404	10,371,231	10,242,220
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	57,083,283	54,531,890	60,549,350	56,454,918

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 DECEMBER 2019	Bank		Group Consolidated	
		31.12.2018	31.12.2019	31.12.2018	31.12.2019
		Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)
1	INTEREST INCOME				
1.1	Loans and advances	5,661,554	4,678,689	5,661,554	4,678,689
1.2	Government securities	338,823	419,374	338,823	419,374
1.3	Deposits and placements with banking institutions	45,144	18,517	45,144	18,517
1.4	Other Interest Income	-	-	-	-
1.5	Total interest income	6,045,521	5,116,580	6,045,521	5,116,580
2	INTEREST EXPENSES				
2.1	Customer deposits	2,173,142	1,787,622	2,173,142	1,787,622
2.2	Deposits and placement from banking institutions	126,790	99,171	126,790	99,171
2.3	Other interest expenses	1,311,822	976,819	1,479,916	1,262,076
2.4	Total interest expenses	3,611,754	2,863,612	3,779,848	3,148,869
3	NET INTEREST INCOME/(LOSS)	2,433,767	2,252,968	2,265,673	1,967,711
4	OTHER OPERATING INCOME				
4.1	Fees and commissions on loans and advances	62,953	183,640	62,953	183,640
4.2	Other fees and commissions	112,045	163,631	151,772	226,856
4.3	Foreign exchange trading income/(Loss)	38,173	50,151	38,173	50,151
4.4	Dividend Income	-	-	-	-
4.5	Other income	89,707	119,164	1,066,159	942,555
4.6	Total Non-interest income	302,878	516,586	1,319,057	1,403,202
5	TOTAL OPERATING INCOME	2,736,645	2,769,554	3,584,730	3,370,913
6	OPERATING EXPENSES				
6.1	Loan loss provision	375,908	351,194	375,908	350,441
6.2	Staff costs	929,804	924,350	1,227,078	1,078,236
6.3	Directors' emoluments	7,998	7,806	8,420	12,174
6.4	Rental charges	114,875	135,680	155,526	185,684
6.5	Depreciation charge on property and equipment	165,724	159,659	181,799	174,869
6.6	Amortisation charges	199,982	211,689	199,982	211,918
6.7	Other operating expenses	1,337,633	1,002,661	2,087,702	1,497,521
6.8	Total Other Operating Expenses	3,131,924	2,793,039	4,236,415	3,510,843
7	Profit/(loss) before tax and exceptional items	(395,279)	(23,485)	(651,685)	(139,930)
8	Exceptional items	13,555	5,752	8,941	2,128
9	Profit/(loss) after exceptional items	(381,724)	(17,733)	(642,744)	(137,802)
10	Current tax	(13,134)	(125,897)	(13,623)	(186,325)
11	Deferred tax	(33,967)	149,978	58,149	214,019
12	Profit/(loss) after tax and exceptional items	(428,825)	6,348	(598,218)	(110,108)
13	Other Comprehensive Income				
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
13.2	Fair value changes in available for sale financial assets	60,379	104,247	60,379	104,247
13.3	Revaluation surplus on Property,plant and equipment	860	-	860	-
13.4	Share of other comprehensive income of associates	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(18,114)	(31,274)	(18,114)	(31,274)
14	Other Comprehensive Income for the year net of tax	43,125	72,973	43,125	72,973
15	Total comprehensive income for the year	(385,700)	79,321	(555,093)	(37,134)
	Earnings per share	(85.77)	1.27	(1.56)	(0.29)
	Dividend per share	25.00	-	-	-

III	DISCLOSURES AS AT 31 DECEMBER 2019	31.12.2018	31.12.2019	31.12.2018	31.12.2019
		Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)	Audited (Ksh'000)
1	Non-Performing Loans and Advances				
	a) Gross non-performing loans and advances	13,334,356	12,316,003	13,334,356	12,316,003
	b) Less: Interest in Suspense	2,501,523	3,231,455	2,501,523	3,231,455
	c) Total non-Performing loans and advances (a-b)	10,832,833	9,084,548	10,832,833	9,084,548
	d) Less: Loan loss provisions	2,098,159	2,655,962	2,098,159	2,655,962
	e) Net non-performing loans and advances(c-d)	8,734,674	6,428,586	8,734,674	6,428,586
	f) Discounted value of securities	8,734,674	6,428,586	8,734,674	6,428,586
	g) Net Exposure(e-f)	-	-	-	-
2	Insider loans and advances				
	a) Directors, shareholders and associates	1,549,429	1,411,487	1,549,429	1,411,487
	b) Employees	868,996	814,148	868,996	814,148
	c) Total insider Loans and Advances	2,418,425	2,225,635	2,418,425	2,225,635
3	Off-Balance Sheet items				
	a) Letters of credit, guarantees and acceptances	184,760	91,942	184,760	91,942
	b) Forwards, swaps and options	972,275	1,237,700	972,275	1,237,700
	c) Other contingent liabilities	-	-	-	-
	c) Total contingent liabilities	1,157,035	1,329,642	1,157,035	1,329,642
4	Capital Strength				
	a) Core capital	6,925,770	5,812,771	7,370,131	6,015,220
	b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000
	c) Excess/Deficiency	5,925,770	4,812,771	6,370,131	5,015,220
	d) Supplementary capital	684,869	558,493	684,869	558,493
	e) Total capital (a+d)	7,610,639	6,371,264	8,055,000	6,573,713
	f) Total risk weighted assets	48,940,357	44,679,426	52,178,149	45,152,456
	g) Core capital /Total deposit liabilities	19.54%	15.30%	20.88%	15.86%
	h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%
	i) Excess/Deficiency	11.54%	7.30%	12.88%	7.86%
	j) Core capital /Total risk weighted assets	14.15%	13.01%	14.12%	13.33%
	k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%
	l) Excess/Deficiency (j-k)	3.65%	2.51%	3.62%	2.83%
	m) Total capital /Total risk weighted assets	15.55%	14.26%	15.44%	14.57%
	n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%
	o) Excess/Deficiency (m-n)	1.05%	-0.24%	0.94%	0.07%
	p) Adjusted Core Capital/Total Deposit Liabilities*	20.05%	15.50%		
	q) Adjusted Core Capital/Total Risk Weighted Assets*	14.52%	13.20%		
	r) Adjusted Total Capital/Total Risk Weighted Assets*	15.92%	14.50%		
5	Liquidity				
	a) Liquidity Ratio	20.92%	20.80%	20.92%	20.80%
	b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%
	c) Excess(Deficiency) (a-b)	0.92%	0.80%	0.92%	0.80%

***Notes**

The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution as audited by KPMG Kenya and received unqualified opinion. The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke.

They may also be accessed at the institutions head office located at Rehani house, Kenyatta Avenue/Koinange Street,Nairobi after the approval by members at the annual general meeting

The financial statements were approved by the Board of Directors on 30 March 2020

Robert Kibaara
Group Chief Executive Officer

Dr. Kaushik Manek
HFC Chairman

Steve Mainda
Group Chairman

www.hfgroup.co.ke

HFC is a wholly owned subsidiary of HF Group
HFC is regulated by the Central Bank of Kenya